

10 Steps to Success

1. Strategic alliances/equity participation with CPSUS
2. Mandatory product purchase by government departments
3. Cleaning up of balance sheets with the government writing off long-pending dues
4. Induction of professionals as directors on boards
5. Investment in modernisation
6. Selection board for CEOs and trebling of their salaries and perks and wage revision for all employees
7. One-time settlements of bank dues, budgetary support and annual auditing
8. Increasing productivity through daily monitoring and fresh recruitment
9. Trade unions refraining from strikes
10. Cost-cutting exercises

ANTONY (2ND FROM LEFT); ACHUTHANANDAN AND KAREEM (RIGHT) AT KELTEC, A STATE PSU TAKEN OVER BY THE DEFENCE MINISTRY'S BRAHMOS AEROSPACE

like Amiya Kumar Bagchi have lauded the experience as unique and pro-people and wonder why their Bengal comrades could not do the same even after three decades in power. YRK Reddy, an expert on corporate governance, has said the Kerala success should trigger inter-state synergy and setting up of a national database of PSUs.

How did the magic happen? State Industries Minister and chief architect of the turnaround Elamaram Kareem says, "This was the result of a conscious plan for revival of PSUs which

would justify our commitment towards the public sector. Only when we prove the viability of PSUs can we continue to oppose the attempts to liquidate or privatise them." Even the Left's opponents nod in approval. "This is a remarkable achievement," says A.K. Antony, Congress leader and minister for defence. Congress MP P.J. Kurien calls it incredible in a politically fragmented Kerala. As many as 11 of the 25 PSUs listed to be closed down or pri-

capital. "We are committed to helping viable PSUs overcome their crises and will not let them die," says state Finance Minister Thomas Isaac.

Another key policy initiative was to make it mandatory for government departments to buy from PSUs. United Electrical Industries of Kollam was one of the country's first to manufacture electricity house meters in collaboration with Aron Meters of England. The 60-year-old company

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ELAMARAM KAREEM, Industries Minister, Kerala



AT THE REOPENING OF A TEXTILE MILL

vatized by the previous United Democratic Front (UDF) government on the basis of recommendations of the Enterprise Reforms Committee have been revived during the past three years. Modernisation projects worth Rs 281.52 crore are being executed in 14 PSUs. Even three sick textile mills closed for long have been reopened in the last three years.

The Government's budgetary support for revival and rejuvenation of viable PSUs was one of the first steps as Rs 161 crore was allocated in the last three years for purposes like one-time settlement with banks, settlement of VRS dues, modernisation, restructuring and providing working

which had supplied meters all over the country during the first phase of household electrification went into the red after state electricity boards (SEBs) began to opt for cheaper meters supplied by lesser-known manufacturers who also humoured officials with kickbacks. The LDF Government asked the SEB to enter into an agreement with the company to buy its meters, which alone was enough to help it move back into black. "Helping us in the first two years has now made us stand without crutches. This year we got an order after competing with others and quoting the lowest price. We have orders from other SEBs and have the

When the LDF came to power in 2005-06, state PSUs posted a combined loss of Rs 69.49 cr. In 2009-10, they are estimated to report a net profit of Rs 212 cr.